Lease of Unit 7, Brookmere Trading Estate

Summary of the lease prepared from the signed counterpart dated 1 March 2018. Clause numbers follow the lease.

Particulars

Item	Detail
Landlord	Brookmere Estates Ltd
Tenant	Merrow Flow Controls Ltd
Premises	Unit 7, Brookmere Trading Estate: production hall, offices and yard, 9,850 square metres in total
Term	15 years from 1 March 2018, ending 28 February 2033
Initial rent	GBP 412,500 a year, payable quarterly in advance
Current rent	GBP 447,800 a year since the review of 1 March 2023
Rent review	Every five years, upward only, to open market rent
Tenant break	1 March 2028, on at least six months' written notice
Use	Light industrial and ancillary offices
Security of tenure	Not excluded

3. Rent and rent review

The rent is reviewed on 1 March 2023 and 1 March 2028 to the open market rent of the premises, assuming a willing landlord and tenant and a term equal to the unexpired residue. The reviewed rent can never be lower than the rent payable immediately before the review date. If the parties do not agree within three months, either party may refer the review to an independent surveyor acting as an expert.

4. Repair and decoration

The tenant must keep the premises in good and substantial repair and condition, including the roof, structure and the yard surface, and must redecorate the interior in the last year of the term. A schedule of condition was not attached to the lease, so the tenant's repairing obligation is not limited to the condition at the start of the term.

5. Service charge and insurance

The landlord insures the building and recovers the premium. The tenant pays a fair proportion of the estate service charge, currently 8.2% of the estate costs, capped at GBP 38,000 a year until the 2028 review.

6. Alienation

The tenant may not assign or underlet the whole of the premises without the landlord's consent, which may not be unreasonably withheld. Assignment of part and underletting of part are prohibited. Sharing occupation with a group company is permitted on notice to the landlord.

7. Change of control

A change in the control of the tenant is not an assignment and does not require the landlord's consent. The tenant must notify the landlord within 20 working days after a change of control and provide the name of the new controlling shareholder. There is no rent deposit or guarantee requirement triggered by a change of control.

8. Break clause

The tenant may end the lease on 1 March 2028 by giving at least six months' written notice. The break is conditional on payment of the rent up to the break date and vacant possession. Compliance with the repairing covenants is not a condition of the break.

9. Alterations

Internal non-structural alterations are permitted. Structural alterations need the landlord's consent. The second CNC machining cell installed in 2024 was approved by a licence for alterations dated 12 December 2023. The landlord may require reinstatement at the end of the term.

10. Environmental

The tenant is liable for contamination caused during the term. A phase 1 environmental report prepared at the start of the lease found no significant contamination. The tenant holds an environmental permit for the paint shop, which is transferable with the business.

Points for buyers

- The change of control does not need landlord consent (clause 7). A notice is enough.
- The upward only review on 1 March 2028 coincides with the tenant break date. Agents estimate the open market rent at GBP 455,000 to 470,000 a year.
- The full repairing obligation without a schedule of condition creates a dilapidations exposure at the end of the term. A surveyor's estimate from May 2026 puts it at GBP 310,000.
- The reinstatement obligation for the CNC cell could add GBP 85,000 if the landlord requires it.
- Security of tenure is not excluded: the tenant has a statutory right to a new lease in 2033.

Rent schedule

Period	Annual rent	Basis
1 March 2018 to 28 February 2023	GBP 412,500	Initial rent
1 March 2023 to 28 February 2028	GBP 447,800	Agreed review, memorandum dated 20 April 2023
From 1 March 2028	To be reviewed	Open market, upward only

Signed counterparts, the licence for alterations and the 2023 rent review memorandum are available on request through the data room administrator.